

because its holder won't have to put up with a lower-than-market coupon rate for very long and because inflation won't have much time to erode the value of the principal. A bond with many years left until its final payback, on the other hand, will fall much further when interest rates go up by the same amount.

So far, I've talked only about how interest rate risk can hurt you when interest rates increase. The other side of the coin is that when interest rates *fall* more than the market expects, bonds tend to *rise* in value. Before you quit your job to become a bond trader, though, you should review the exact wording of the previous sentence. It's not enough to know that interest rates are likely to fall if everyone else knows that too, since those expectations will almost certainly already be reflected in the price you'll have to pay to buy bonds. To "beat the market" you'd have to outguess thousands of experts who spend their time thinking of little else.

My recommendation: Don't even try. The point of this discussion is not to teach you how to make extraordinary profits by predicting the future direction of interest rates but simply to help you understand the two major factors—default risk and interest rate risk—that contribute to the uncertainty surrounding a bond's future performance.

Different Types of Bond Funds

Bond funds differ according to the type of bonds they invest in. There are two key variables to look at. The first is who is issuing the bond. This affects the degree of default risk you're exposed to and determines whether the income you receive from the bond is taxable or tax-exempt. As in the case of money market funds, there are bond funds that invest in bonds issued by the U.S. Treasury, by various federal agencies, by cities, states, and counties, and by corporations.

From a tax perspective, these different types of bond funds work in pretty much the same way as the corresponding types of money market funds. This is true of default risk as well, except that the stakes are higher. Even a somewhat shaky corporation may be able to stay afloat for long enough to repay a three-month money market instrument, but whether it will last long enough to make good on a twenty-year bond may be another story.